



Deduction of Charitable Contributions in Developing Countries

Arabic-Speaking Countries • Afghanistan
Argentina • Bahamas • Bangladesh • Barbados
Burkina Faso • Burma • Chad • Comoros • Djibouti
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May 1992

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DEDUCTIONS OF CHARITABLE CONTRIBUTIONS IN DEVELOPING COUNTRIES

A Comprehensive Summary

The definition of the term *developing countries*, as found in this study, is based on a classification of the United Nations shown in "Appendix B The United Nations Roster of 'Developing' Countries" (see *Appendix*) published in *Towards a World Economy that Works* (1980).

The present study is based on the 116 countries found in the "United Nations Roster" and deals with charitable contributions to be deducted by business enterprises as well as individual taxpayers or both simultaneously. These developing countries fall into the following categories: 42 countries which expressly permit deductions, 37 countries which do not expressly permit deductions, 4 countries which prohibit deductions, and 33 countries for which updated information was not found in sources available in the collections of the Law Library of Congress.

The calculation of deductions for charitable contributions in 13 countries is based on gross income, in 6 countries on taxable income, in 4 countries on net income, and in 19 countries on miscellaneous other conditions.

The 42 countries which permit deductions for charitable contributions include 25 countries which apply variable rates of deduction expressed in percentages, 10 countries which do not have rates established by law but by implementing regulations, and 10 countries which limit deductions to a certain amount.

Detailed information for each country is available in the separate reports by individual countries or groups of countries.

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Law Library of Congress
May 1992

ARABIC-SPEAKING COUNTRIES OF THE NEAR EAST AND AFRICA

The tax laws of Algeria, Bahrain, Kuwait, Lebanon, Libya, Morocco, Oman, Qatar, Sudan, Syria, and United Arab Emirates have no provisions for the deduction of charitable contributions (*Taxes and Investment in the Middle East and African Systems*, International Bureau of Fiscal Documentation, Amsterdam, 1977- (looseleaf)).

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March 1992

AFGHANISTAN

Articles 13 and 19 of the Afghanistan Income Tax Law of July 1972, as amended, provides a list of deductions and charitable contributions are not included (*Official Gazette* No. 221 of August 1972, at 12).

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March 1992

ARGENTINA

The Law on Income Tax* provides that charitable contributions are deductible if they are donated to religious, charitable, educational, scientific, cultural, artistic and sporting institutions. These gifts receive a tax credit up to a maximum of 20% of the taxpayer's total net income of the tax year. If the donation exceeds this maximum for a certain year, the remaining amount may be deducted within the following two taxable years, always keeping the 20% limitation in each year.

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* Law No. 20628 of December 27, 1973, revised in 1986 in R. Amor, *I Impuestos* 87, 30 (Buenos Aires, 1987), art. 81, para. c.

BAHAMAS

There is no direct taxation in the Bahamas, *e.g.*, no income, capital gains, profits, corporation, withholding or estate taxes. Also, there are no gift taxes of any nature (*International Tax Summaries*, B-1, (1991); *Martindale-Hubbell Law Digest*, BHM-5 (1991)).

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and Tammy Blake, Research Analyst
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March 1992

BANGLADESH

No income tax is payable on the following income or donations of an assessee:¹

- donations to an educational institution, including a polytechnic, which is affiliated to a university or a legally established board of education, recognized or run by the government;
- any hospital aided, run or recognized by the government or a local authority;
- any flood or famine relief fund sponsored or approved by the government;
- charitable contributions to an institution or fund for religious or charitable purposes that is not a private religious institution or fund in Bangladesh;
- contributions to the Zakat Fund; and
- donations to national sports organizations.²

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¹ The Income Tax Ordinance, No. 36 of 1984, § 44.

² *Id.*, Sixth Schedule, item 12.

BARBADOS

Deductions are allowed to both individuals and corporations. The amount that "shall be deducted under this section for an income year shall not exceed ten percent of the assessable income of that person for that income year," provided that the payments are made to registered benevolent organizations (ITA Barb. Rev. Laws, ch. 73, § 33 (1978), as reprinted in *Tax Laws of the World*, Barbados 28 (1991)).

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March 1992

BURKINA FASSO

Pursuant to the Code of Direct and Indirect Taxes,* charitable contributions, gifts or donations to charities are not listed as deductible expenses or as non-deductible expenses from the taxable income of corporations or individuals.

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* Code of Direct and Indirect Taxes, *African Tax Systems*, International Bureau of Fiscal Documentation, Binder I, Burkina Fasso, Section B, December 1988, pp. 4-27.

BURMA

The Income Tax Law of 1974 makes no provision for the deduction from taxable income of charitable contributions.

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March 1992

CHAD

Pursuant to the General Tax Code,* charitable contributions, gifts or donations to charities are not listed as deductible expenses or as non-deductible expenses from the taxable income of corporations or individuals.

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* Law No. 27/PR/67 of December 30, 1967, to Adopt a General Tax Code, *Code Général des Impôts* (Paris, Edition Delroisse, 1968).

COMOROS

No provisions, pertinent to taxation law, could be located in the available sources in the Law Library of Congress.

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DJIBOUTI

Pursuant to the General Tax Code,* charitable contributions, gifts or donations to charities are not listed as deductible expenses or as non-deductible expenses from the taxable income of corporations or individuals.

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* Deliberation No. 77/8 L of December 23, 1974, of the Chamber of Deputies to Adopt a New General Tax of Solidarity on Individual and Business Incomes, rendered enforceable by Order No. 74-2036/SG/CD of December 31, 1974, *Journal Officiel du Territoire Francais des Afars et des Issas*, No. Special, January 10, 1975, pp. 1-12.

DOMINICA

Individuals

Contributions by the individual taxpayer are allowed as deductions up to an amount equal to one-sixth of his chargeable income or the amount of £250, whichever is less.

Corporations

No provision for charitable deductions are cited in the sources available in the Law Library of Congress (ITA, 1982 Dom. Laws, Ch. 37, § 18, as amended).

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March 1992

ENGLISH-SPEAKING AFRICAN COUNTRIES

No provisions could be located in the available sources in the Law Library regarding charitable contribution deductions for Botswana, The Gambia, Ghana, Kenya, Lesotho, Liberia, Mauritius, Seychelles, Sierra Leone, Swaziland, Tanzania and Uganda.

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ETHIOPIA

Ethiopian income tax law does not contain any provision concerning the deduction of charitable contributions.*

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* Proc. No. 193 of 1961 as amended by Proc. No. 155 of 1978, Proc. No. 196 of 1980, and Proc. No. 18 of 1990, in *Negarit Gazeta* No. 13 of June 2, 1961, No. 3 of October 10, 1978, No. 4 of November 3, 1980, and No. 15 of May 23, 1990, respectively.

FIJI

The Income Tax Act, *Laws of Fiji*, ch. 201 (1985), exempts from taxation any interest payable on any loan to any institution, body or irrevocable trust of public character which is not a resident of Fiji and which has been established solely for the relief of poverty or distress of the public or for the advancement of religion or education.

The Income Tax Act also allows as a deduction from income any donations or contributions made to the War Memorial, Anti-Tuberculosis Fund and the Fiji Visitors Bureau.

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GRENADA

There currently are no income taxes on individuals. Under the Business Levy Act schedule, section 4A, donations for charitable purposes are permitted. The rate at which deductions could be taken is not given.

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GUINEA

Pursuant to the Direct Tax Code of Guinea,* corporations subject to the tax on business income may deduct from their taxable income, contributions, gifts, donations made to public charities or organizations of a philanthropic, sportive, scientific, social or familial nature, established or residing in Guinea. The contribution is deductible within the limit of 1/1,000 of the business income.

The text regarding taxation of the income of individuals is not available in the Law Library of Congress.

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* Ordinance No. 91-18/PRG/SCG of February 8, 1991, to Adopt a New Direct Tax Code, *Fiscalité Africaine*, No. 9, May 15, 1991, only Part I on taxation of business income is available, pp. 16-26.

GUYANA

Individuals

Deductions are allowed for any individual who has, during the year preceding the year of assessment, donated any sum of money to the government for public purposes, or to any prescribed institution or organization of a national character.

Corporations

Deductions are allowed for any person (other than an individual) who has, during the first-mentioned year, donated any sum of money or other property held by that person for sale in the ordinary course of business, to the government for public purposes, or to any prescribed institution or organization of a national character (ITA, Guy. Rev. Laws, Ch. 81:01§ 35 (1977)).

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INDIA

In computing the taxable income, donations made for the National Defence Fund and the Prime Minister's Relief Fund, etc., are excluded from the earned income. If donations are made for more than one of such causes, the aggregate of such sums plus 50% of the balance of the aggregate are deducted from the taxable income of the assessee.¹

For any other religious or charitable causes, donations are subject to the ceiling of 10% of the gross total income.²

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¹ The Income Tax Act, No. 41 of 1961, § 80G.

² The Direct Tax Laws (Amendment) Act, No. 4 of 1987, § 25.

IVORY COAST

Pursuant to the General Tax Code,* charitable contributions or gifts or donations to charities are not listed as deductible expenses or as non-deductible expenses from the taxable income of corporations or individuals.

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* Law No. 84-1232 of November 8, 1984, to Adopt a New General Tax Code, *African Tax Systems*, International Bureau of Fiscal Documentation, Binder I, Ivory Coast, Section B, November 1990, pp. 4-9.

JAMAICA

Deductions are allowed for any donation not exceeding one-twentieth of the statutory income "to any institution or organization established and operated exclusively for charitable or educational and approved by the Minister of Finance." *Person* should cover corporations; *person* means any individual or body of persons.

Tax credits for donations to charitable or educational institutions was repealed by Act No. 4 of 1986 (ITA, Jam. Rev. Laws, §13.1-1 (q) as reprinted in *Tax Laws of the World*, 22, 45 (1989)).

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REPUBLIC OF KOREA

Contributions to certain institutions, such as social welfare, cultural, educational, religious, and charitable organizations, are included in deductible expenses, within a prescribed limit. The limit for such contributions is the sum of 10% of taxable income before deduction of any donation in this category plus 2% per year of paid-in capital not in excess of five billion won (about U.S.\$6,501,951). Any donation in excess of this limit can be applied to entertainment expenses.*

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* *Guide to Korean Taxes 1990*, 265 (CCH International, 1990).

LAOS

The Council of Ministers of the Lao People's Democratic Republic has promulgated a new Decree on the State Tax System (No. 47/CCM of June 26,1989) in which there are a number of exemptions, deductions or suspensions of taxes for incomes derived from agricultural, import-export and business activities. However, none of the provisions of this law provide for deductions based on donations to charitable organizations.

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LIBERIA

Income tax in Liberia is charged under the Revenue and Finance Law (1 *African Tax Systems*, Amsterdam, 1973-, Supp. No. 55, Spring 1985, looseleaf).

Contributions or gifts for the benefit of the public to the Liberian government or its local government entities and also to approved charitable, religious or educational institutions up to a maximum of 15% of taxable income are deductible.

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MADAGASCAR

Pursuant to the General Tax Code,* charitable contributions, gifts or donations to charities are not listed as deductible expenses or as non-deductible expenses, from the taxable income of corporations or individuals.

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* General Tax Code of Madagascar, *African Tax Systems*, International Bureau of Fiscal Documentation, Binder I, Madagascar, Section B, March 1990, pp. 4-12.

MALAWI

Income tax in Malawi is controlled by the Taxation Act (Cap. 41:01) (2 *African Tax Systems*, Amsterdam, 1973-, Supp. No. 76, August 1990, looseleaf).

Donations to specific charities up to a maximum of K10,000 per annum are deductible from gross income.

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MALAYSIA

The 1967 Income Tax Act of Malaysia, as amended from time to time up to 1990, in its section 44 relating to taxable income, provides in subsection (6) for a deduction of an amount equal to any gift of money made by the taxpayer in the basis year for that year to the central government, a state government, a local authority, or an institution or organization approved for the purposes of the section by the Director General of Inland Revenue.

Institution for purposes of such deductions is defined as an institution in Malaysia that is not operated or conducted primarily for profit and that is:

- a hospital;
- a public or benevolent institution;
- a university or other educational institution;
- a public authority or society engaged solely in research or other work connected with the causes, prevention, or cure of disease in human beings; or
- a government-assisted institution engaged in socio-economic research.

An *organization* for purposes of deductions from taxable income is defined as an organization in Malaysia that is not operated or conducted primarily for profit and that is:

- an organization established and maintained exclusively to administer and augment a public or private fund established or held for the sole purpose of the establishment, enlargement, or improvement of an institution or solely for the provision of a scholarship, exhibition, or prize for an individual for educational work, research work, or other similar work in an institution or in what would be an institution if it were in Malaysia; or
- an organization established and maintained exclusively to administer and augment a public fund established or held solely for the relief of distress among members of the public; or
- an organization established and maintained exclusively to administer and augment a fund established and held solely for the construction, improvement or maintenance of a building in Malaysia which:
 - is intended to be used (and, when constructed, is used) exclusively for the purposes of religious worship or the advancement of religion; and
 - is intended to be open (and, when constructed, is open) to any member of the public for those purposes; or

-- is an organization that maintains or assists in maintaining a zoo, museum, art gallery, or similar undertaking or is engaged or in connection with the promotion of culture or the arts; or

-- is an organization engaged in or in connection with the conservation or protection of animals.

In addition, the Income Tax (Deduction of Donations in Kind to Disaster Relief Funds) Rules, issued in 1971, provide that amounts equal to the value of donations in kind made to the National Disaster Relief Fund or a State Disaster Relief Fund may be deducted from the gross income of the donor, which must be income derived from a business. In order to be eligible for such deductions, the donation must have been made out of the stock in trade of that business and the amount of the deduction in respect of such donation must not exceed the adjusted income for the basis period for that year of assessment.

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MALTA

The Death and Donation Duty Act, *Laws of Malta*, ch. 239 (1984), exempts the following from the duty:

- bequests or *inter vivos* gifts made for charitable, educational or philanthropic purpose;
- bequests and gifts made to foreign charities; and
- bequests and gifts made to religion.

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March 1992

MAURITANIA

The General Tax Code of Mauritania* allows corporations to deduct from their business income gifts, donations and subsidies of up to 0.50% of the taxable income.

Regarding taxation on income of individuals, contributions to charitable bodies are not listed as expenses deductible from the net taxable income of individuals.

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March 1992

* Ordinance No. 82-060 of May 24, 1982, to Adopt a General Tax Code, *Journal Officiel de la République Islamique de Mauritanie* No. 568 Special, June 2, 1982, pp. 1-287.

NEPAL

Nepalese law exempts philanthropic contributions of amounts not exceeding 50,000 *rupees* (approximately \$1,250) or 5% of the net taxable income, whichever is less.

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NIGER

Pursuant to the General Tax Code,* charitable contributions or gifts or donations to charities are not listed as deductible expenses or as non-deductible expenses from the taxable income of corporations or individuals.

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March 1992

* General Tax Code of Niger, *African Tax Systems*, International Bureau of Fiscal Documentation, Binder II, Niger, Section B, March 1990, pp. 4-12.

NIGERIA

The law governing income tax is contained in the Income Tax Management Act, 1961 (*see 1 African Tax Systems*, Supp. No. 76 of August, 1990, pp. 4-5).

The following items are specifically allowed by the state as deductions: donations made by a company out of the profits to public funds, statutory bodies and institutions and ecclesiastical, charitable, benevolent, educational and scientific institutions up to a maximum of 10% of the total profits of the company for the year before this deduction is made.

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March 1992

PAKISTAN

An assessee may make charitable contributions to a university, a board of education, or to any hospital. However, the donation should not exceed:*

- 500,000 *rupees* (approximately \$20,000) in the case of a corporation; and
- 1,000,000 *rupees* (approximately \$40,000) in any other case.

For charitable contributions to a religious institution or fund, approved by the Central Board of Revenue, the amount must not exceed 500,000 *rupees*.

In any case, the aggregate of donations shall not exceed:

- in the case of a public corporation, 5% of its total income;
- 7 1/2 of 1% of the total income for a private company; and
- in other cases, 25% of the total income.

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March 1992

* The Income Tax Ordinance, No. 31 of 1979, as amended by the 1988 Finance Ordinance, § 47.

PAPUA NEW GUINEA

Companies are allowed to deduct from income gifts of 1,500 *Kina* and upwards made to an association or club established for the encouragement of athletics or sports in which humans are the sole participants (Income Tax Act, 1959, §§ 69 & 69AQ, as amended).

Deductions for charitable contributions made by individuals are not included in the law.

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March 1992

ROMANIA

No updated text controlling deductions of charitable contributions from business and individual income could be located in the available sources.

Prepared by Anton Wekerle, Chief
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Law Library of Congress
March 1992

RWANDA

The Rwanda Income Tax Law* considers that charitable contributions are deductible expenses from the net business income of corporations. Donations made to charities of a religious, scientific or philanthropic nature, established in favor of the citizens of Rwanda may be deducted without limit of amount, provided that these charities are considered to meet the above conditions by the Minister of Finances.

Concerning the taxation of individuals, the law makes no mention of such deductible expenses from the net taxable income of individuals.

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March 1992

* Law of June 2, 1964, on Income Tax Law, *Codes et Lois du Rwanda*, Vol. III, 1983, pp. 989-999.

SAINT LUCIA

Deductions are allowed to any person who has made a contribution under a deed of covenant for a period of no less than three years to any religious, charitable, medical, or educational institution or sporting body or fund of a public character approved by the Cabinet; to the Saint Lucia National Trust; to the loan fund established under the Further Education (Loan Fund) Act, 1969, in the amount of such contribution provided the deduction does not exceed 25% of the assessable income for that year. *Person* includes corporations (ITA 1989, St. Lucia Laws, as amended, § 56).

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SINGAPORE

Under the provisions of the Income Tax Act as amended up to 1990, deductions may be taken for certain charitable contributions.

Section 37, in Part VI of the Act, contains provisions on how the assessable income of a taxpayer is to be ascertained. Subsection (1) lays down the general rule, which is that the assessable income of any person from all sources chargeable with a tax under this Act for the year of assessment is the remainder of his statutory income for that year after deductions allowed under this Part have been taken. Statutory income is income accruing in or derived from Singapore or received in Singapore from outside Singapore in respect of items listed in section 10 of the Act.

Subsection (2) of section 37 then lists the deductions that may be taken in ascertaining assessable income, under the heading of "Loss in trade, business, profession or vocation." This list, set forth in paragraph (c) of subsection (2), contains the deduction "Gifts to approved institutions of a public character." Paragraph (c) states that an amount in respect of gifts of money made by the taxpayer in the year preceding the year of assessment to the government or to any approved institution of a public character in Singapore may be deducted. It then defines the term *institution of a public character* as meaning an institution or fund in Singapore which is:

- a hospital not operated or conducted for profit;
- a public or benevolent institution not operated or conducted for profit;
- a public authority or society not operated or conducted for profit and which is engaged in research or other work connected with the causes, prevention, or cure of disease in human beings, where the gift is for such activities;
- a university or a public fund for the establishment, maintenance, enlargement, or improvement of a university;
- an educational institution not operated or conducted for profit, or a public fund for the establishment, maintenance, enlargement, or improvement of such an educational institution;
- a public or private fund for the provision, establishment, or endowment of a scholarship, exhibition, or prize in a university, or an educational institution not operated or conducted for profit;
- a public fund established and maintained for the relief of distress among members of the public;
- a charitable institution or a body of persons or a trust established for charitable purposes only; or

- an organization not operated or conducted primarily for profit which is engaged in or connected with the promotion of culture or the arts or with the promotion of sports.

Under paragraph (d) of subsection (2) of section 37, an amount equivalent to the value of any gift of a computer (including computer software and peripherals) approved by the Minister and made by any company in the year preceding the year of assessment to a prescribed education or research institution in Singapore may also be deducted.

Subsection (2A) of section 37 stipulates, however, that deductions under this section will be allowed only to the extent that they are not in excess of the statutory income remaining after deductions authorized by subsection (2), paragraph (a).

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March 1992

SOLOMON ISLANDS

Deductions for charitable contributions are not included in the law.

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March 1992

SOMALIA

Pursuant to the Somali Taxation System,* charitable contributions, gifts or donations to charities are not listed as deductible expenses or as non-deductible expenses, from the taxable income of corporations or individuals.

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March 1992

* A. Tomaselli, "Somali Taxation System," *African Tax Systems*, International Bureau of Fiscal Documentation, Binder II, Somalia, Section B, January 1990, pp. 4-25.

SRI LANKA

Information for Sri Lanka cannot be provided because the revised edition of the Sri Lanka Enactments has omitted publication of the income tax law. The new publication of the law is awaited.

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THAILAND

Income tax in Thailand is governed by the Revenue Code of 1939. In accordance with amended section 47(7) of the Code,¹ donations given to qualified charitable organizations are deductible up to a maximum of 10% of the income remaining after allowing the deductions listed in subparagraphs (1)-(6). The allowed deductions listed in 47(1)(6) are:

- personal allowances for the taxpayer, his or her spouse and children;
- life insurance premiums;
- dividends received from mutual funds issued by financial institutions created specifically by law in order to promote agriculture, commerce, or industry;
- an educational allowance for children;
- an allowance for employee contributions to a provident fund; and
- an allowance for interest on loans for residential purposes, and so on.

The tax allowance for donations can be equal to the amount donated. Charitable organizations approved by law include:

- government-owned clinics and educational institutions;
- public charities; and
- other clinics and educational institutions as specified by ministerial notifications published in the *Government Gazette*.²

As for income tax on juristic companies and partnerships, section 65 *ter* of the *Revenue Code* indicates that donations to public charities are deductible, but the sum donated

¹ *The Revenue Code as Amended up to April 1986 - Decree, Regulations, Notifications 32-34* (Bangkok, ACREV, [1986], V. T. Associates, *comp. and trans.*).

² A photocopy of the List of Organizations and Institutions Designated for Exempt Donations under Sections 47(7) and 79 *ter* (8)(b) by Notifications of the Ministry of Finance on Income Tax and Business Tax is appended.

should not exceed 1% of the company's net profits.³ Section 79 *ter* (8)(b) of Chapter IV on business tax further allows an exemption from a business tax for donations to organizations or institutions listed in section 47(7)(a) and (b) above.⁴

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³ *Supra* note 1, at 50.

⁴ *Id.* at 73.

TRINIDAD

Section 16A covering deductions for charitable contributions has been repealed. *Person* includes company (ITA, Trin. Rev. Laws, § 16A, as reprinted in *Tax Laws of the World* 16 (1985)).

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VIETNAM

The Socialist Republic of Vietnam has promulgated a number of laws on taxation. However, none of the provisions on tax exemption in these laws list donations to charitable organizations.

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WESTERN SAMOA

Resident taxpayers are allowed an exemption from income of up to 65 *tala* in respect of gifts made for charitable purposes (International Bureau of Fiscal Documentation, *Taxes and Investment in Asia and the Pacific*, Western Samoa, at 77).

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ZAIRE

Pursuant to the Tax Code of the Republic of Zaire,* charitable contributions, gifts or donations to charities are not listed as deductible expenses or as non-deductible expenses from the taxable income of corporations or individuals.

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* Tax Code of the Republic of Zaire, *African Tax Systems, International Bureau of Fiscal Documentation*, Binder II, Zaire, Section B, December 1988, pp. 4-20.

ZAMBIA

Income tax in Zambia is levied on both companies and individuals under the Income Tax Act, 1966, as amended (*see 2 African Tax Systems*, Supp. No. 77 of November, 1990).

The following items are allowed as deductions: contributions in cash to approved ecclesiastical, charitable, research, or educational institutions or funds of a public character or to a national amateur sporting association (where no consideration is made for the payments). The deductions may not exceed 15% of the assessable income.

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